

ANGX pitch deck

PITCH — ANGX — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: WATCH, no entry today — the bear case on demand is refuted, but we will not buy an unauditable margin plus a dated ~7% dilution event; re-open on the two conditions below. (Red bench: kill conviction 4/10. Blue bench: WATCH conviction 7/10. No position, no orders.)

What we believe

Angel Studios' subscription business is real and the "collapsing demand" story is wrong. We verified this in the primary Q2 filing itself ([10-Q, filed 2026-08-04](#)), not from press coverage:

- Angel Guild (the membership product) did **\$174.1M in first-half revenue, up 113.5%** year over year, and **\$90.7M in Q2 alone (+94% YoY, +8.9% vs. Q1)**.
- **Deferred revenue — cash customers have already paid for future service — grew \$16.0M in six months to \$82.5M.** People do not prepay a service they are abandoning.
- **Operating cash flow was +\$18.8M** in the first half, versus **-\$20.4M** a year ago, and the improvement is operational, not financing dressed up (financing netted to **-\$1.1M**). Honest caveat: roughly \$16M of that cash flow is the deferred-revenue build, so the steady-state business is approximately cash-breakeven, not a \$19M generator.
- Q2 total revenue **grew 27.5% even though the theatrical film line was nearly empty** (\$2.8M vs. \$32.6M a year ago). The subscription business absorbed the entire hole.
- A third leg neither side had focused on: **content licensing grew 176%** to \$25.3M in the half.

What we do *not* believe is that this is a clean balance sheet or an auditable business. It carries **78.0M of debt at 10–15–29.3M**, and the company's own twelve-month liquidity statement lists, among its resources, "the ability to sell its digital assets if necessary" — a 303-bitcoin treasury that lost a third of its value (\$26.5M → \$17.7M) in the first half, with those losses excluded from the profitability metric management markets.

What the market believes

At \$4.37 (August 14 close), the market treats ANGX as a broken SPAC-merger stock: down 79% from its 52-week high, but **already doubled off the \$2.045 low**. The last real market-clearing price for a large slug of stock was the **April 2026 offering at \$2.10**, done roughly a month after insider lockups expired — that offering *was* the exit door for early holders. The market sees expensive hard-money debt, negative equity, a bitcoin-flavored liquidity cushion, a film business that just printed a near-zero quarter, and a pending merger (S-4) that will add roughly **10.15 million shares (~7% dilution)** by

its October 31 deadline. Five to twelve analysts cover it — this is not an undiscovered name, and the Q2 beat has been public since August 4.

Why we might have edge

1. **The headline bear fact is a comparison artifact, and we caught it.** The -48.5% theatrical decline that looks like demand damage is a base effect: the year-ago period contained *The King of Kings*, Angel's second-highest-grossing film ever (\$19.4M opening weekend — about 93% of this entire half's theatrical line), while this Q2 had no wide release. A decline against a record slate is not a demand collapse.
2. **Prepaid cash is hard evidence.** The \$82.5M deferred-revenue balance (+107% YoY) is contractual money in the bank corroborating subscriber growth — harder to fake or spin than a press-release member count.
3. **A widely-feared accounting question turned out to be moot.** The concern that a 10-year content-amortization policy was hiding losses dissolves on one primary read: total capitalized content is only **\$5.4M** against \$226.8M of half-year revenue. Angel mostly doesn't capitalize its slate at all; creator costs flow through revenue-share.
4. The licensing line (+176%) has been litigated by no one, including us.

Why it might be priced in

1. The stock has **already doubled off the low**; the easiest part of the re-rate may be done, and the Q2 beat is twelve days old and covered by the Street.
2. The single most important number — **the margin Angel keeps on Guild revenue after paying filmmakers — is not disclosed anywhere in the filings**, and churn isn't either. A market discount for unauditable unit economics is rational pricing, not mispricing.
3. **Outside demand signals are not confirming.** Our organic-attention tracker reads *decaying* (39.1) while the company spends \$117.7M a half on sales and marketing, and our app-store review tracker could not even resolve the company's app listing. Blue bench plausibly argues the attention decay just reflects a no-release quarter — but “plausibly explained away” is not “refuted.”
4. The ~7% dilution event is on the public calendar (October 31). Everyone can see it; anyone wanting in can wait behind it, which is exactly what we propose to do.

What we checked ourselves

Claim	How checked	Found	Confirmed?
10-yr content amortization hides losses (our brief's #1 question)	Read content note in primary 10-Q	Content assets \$5.4M; H1 amortization \$1.08M — immaterial	No — refuted. Our own triage sent court in on a moot headline question

Claim	How checked	Found	Confirmed?
Theatrical –48.5% = demand damage (red’s flagship kill)	Revenue disaggregation + box-office record for the year-ago comp	Comp contained <i>The King of Kings</i> ; this Q2 had no wide release	No — overturned as a base effect. Our red bench erred exactly the way its template warned
Pre-court brief’s balance sheet (“\$102.3M notes,” “–\$41.5M deficit”)	Debt and equity notes in primary 10-Q	Actual: \$78.0M debt, –\$29.3M deficit, minority interest immaterial	Brief was wrong, in the bearish direction. Corrected by both benches
Cash build is real, not financing	Cash-flow statement	OCF +\$18.8M (vs –\$20.4M); financing –\$1.1M net; ~\$16M of it is deferred-revenue build	Yes, with the breakeven-steady-state caveat
Bitcoin treasury backstops liquidity	Liquidity note, verbatim	303.1 BTC worth \$17.7M (was \$26.5M); –\$8.8M loss excluded from adjusted EBITDA; sufficiency sentence cites selling it “if necessary”	Yes — confirmed risk (mitigant: listed last of five resources; none sold)
Guild margin is resolvable from filings (our brief claimed it was)	Explicit search of the filing for filmmaker split and churn	Not disclosed anywhere	No — brief was wrong. It is a disclosure gap, unanswerable by any audit
2.85M members, +99%	Venue check	Appears only in PR/calls, never in the audited filing; dollar figures corroborate scale	Partially — treat the count as marketing
Demand confirmed by outside channels	Attention tracker + app-review tracker	Decaying (39.1); app listing unresolved	Fact confirmed; meaning disputed (no-release-quarter confound)
52-week-high figure feeding our drawdown screen	Pack vs. two other sources	\$20.385 vs \$60.00 vs \$16.00 — irreconcilable	No — unresolved. Screener-hygiene defect, ours
Tape \$4.37 / no position, no orders	Third-party close cross-check; broker tools were permission-gated this session	Close matches; book state is asserted, not polled	Price yes; book state unverified

PROPOSED ENTRY BANDS

The court’s disposition is no entry today, so these are **re-open bands**, built from the benches’ own numbers:

- **Re-open condition A (binding gate):** the app-review tracker resolves Angel’s actual app listing. If reviews-per-day are flat or rising, a **starter position becomes eligible near market, up to \$4.50** (deliberately just under the \$4.52 26-week high, so we are not paying breakout prices for a watch-list idea). If review velocity is collapsing, **kill the file** — that was blue bench’s own stated kill condition.

- **Re-open condition B (preferred sequencing):** wait out the **October 31 S-4 deadline**. The merger adds ~10.15M shares (~7%). The dilution-adjusted equivalent of today's \$4.37 is roughly **\$4.05**; entries after the merger closes at **\$4.05 or below** buy the same business without paying for the overhang.
- **Sizing if entered:** starter only, **capped at 0.5% of book**, because the margin of the only growing segment cannot be audited. No adds until the company discloses the filmmaker revenue split or a Q3 filing shows deferred revenue building again *without* an annual-price-increase confound (red bench's own stated mind-changer).
- **Hard-revisit floor, not a buy level:** a close **below \$2.10** (the April offering's clearing price) would contradict the operational-turn read entirely — re-run the court, do not mechanically buy the dip.
- **Catalyst dates:** 2026-10-31 S-4 merger deadline (dated in the filing); 2026-11-03 likely Q3 earnings (derived, **unconfirmed** — no company PR names it).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.1 (deck-provisional: April 2026 offering clearing price — a re-test contradicts the operational-turn read; re-court, do not)
- filing watch: 8-K,S-4/A,425 until 2027-02-12 (deck-provisional: S-4 merger close/extension/termination by 2026-10-31 — clears or extends the ~10.15M-share (~7%) dilut)
- dated pack ANGX|2026-10-31: ANGX: S-4 merger deadline (~10.15M shares, ~7% dilution) (date confirmed=True)
- dated pack ANGX|2026-11-03: ANGX: Q3 2026 earnings, yfinance-derived, no company PR (date confirmed=False)

What remains unverified

- **The Guild contribution margin** — the filmmaker revenue split and member churn are simply not disclosed. This is the core open question and no tool of ours can answer it; only new disclosure can.
- **The 2.85M member count** — press-release-only; the audited filing discloses dollars, not heads.
- **Content licensing quality (+176%)** — counterparties and minimum-guarantee terms unexamined by either bench. Declared coverage gap.
- **The \$40M of undrawn debt tranches** — contractually conditioned on revenue and equity-issuance tests; we have not verified those conditions are currently met, so we do not count that money as available.
- **The 52-week-high discrepancy (\$20.385 / \$60.00 / \$16.00)** — the number that fired our drawdown screen is unreliable; hygiene fix owed.
- **The November 3 earnings date** — derived, not company-confirmed.

- **Our own book state** — broker tools were permission-gated this session; “no position, no orders” is asserted from the pack, not polled live.
- **The app listing itself** — the tracker could not resolve it, which is why the entry gate cannot currently be evaluated at all.

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